

Tax-Exempt Bond Bidding Marketplace

“eBay for the perishable asset — tax-exempt bond capacity.”

A marketplace that moves **expiring tax-exempt bond capacity** into **shovel-ready affordable-housing deals** — before the clock runs.

Status: DRAFT / brainstorming capture | July 20, 2026 | Working name: TBD | Figures marked [V] are unverified — confirm vs. IRC / Treasury regs / state QAP.

THE 3 PLAYERS

- **Issuer** — holds the capacity; it's on a clock.
- **Borrower** (developer) — needs it to start the next project.
- **Bank / lender** — funds the bonds (direct purchase).

THE IDEA

Software that runs the **regulated bid events** across a tax-exempt bond's life, matches **expiring capacity** to projects, and enforces the **compliance clocks**.

The moat is **encoded compliance + timing** — not a directory of PDFs anyone can already download, but a **perishable marketplace** that exchanges previously *unvalued or ambiguously valued* tax-exempt bond capacity into shovel-ready deals, before the clock runs out.

WHY IT'S URGENT (the economics)

- Expired capacity → the next deal uses **taxable** debt at **~+50 bps** — **~\$12,500/yr** on a \$2.5M issue, often the line between a deal that pencils and one that dies. [V]
- Rules aren't national — each state's QAP governs LIHTC (California's is **~100 pages**, yearly) plus local NOFAs (LACDA). No human tracks 50 of these.

THE PROTOTYPE — two engines

- **Countdown engine**: the bond's own date is the anchor (e.g., **Apr 1** redemption); it back-schedules solicit → bid → award → close to hit the target (**Jun 1**) and blocks anything that would miss a legal window.
- **Rulebook engine**: ingests the 100-page QAP / NOFA / IRC sources into machine-readable rules for **all 50 states, in a unique unified fashion** — the crucial compliance check; never matches an illegal or expired pairing.

THE AUCTION

- **Sealed or open** competitive bids (both under evaluation in the design); a **reserve/minimum must be met or no award; no buy-it-now** (genuine competition is itself a compliance requirement).
- **Type A (v1)**: banks bid **rate** to fund the loan — lowest wins.
- **Type B (later)**: providers bid **GIC yield** on un-spent proceeds.

BUSINESS MODEL

- **Issuers: free** (never tax the scarce supply).
- **Banks pay**: subscription seat + success fee on won deals.
- **Refundable or non-refundable deposit** (\$500–\$1000) to bid (both under evaluation) — anti-flake gate, not a liquidity-killing fee.

v1 WEDGE + OPEN DECISIONS

Assume: Type A, California / CTCAC first. **Need from you**: wedge A vs B; are Type-A bidders banks or developers; whether capacity is transferable across issuers; the date-clock direction; verify carryforward / recycle windows and the min-bidder safe harbor. [V]

One-page summary — full brief, data model, and diligence checklist available separately. Confidential working document; nothing here is legal or investment advice.